

LIBERTY KENYA HOLDINGS LIMITED

The Board of Directors of Liberty Kenya Holdings Limited is pleased to announce the audited results of the Group for the year ended 31 December 2016



LIBERTY

Group Statement of Financial Position

	31 Dec 2016 Shs'000	31 Dec 2015 Shs'000
Capital and reserves		
Ordinary share capital	535,707	535,707
Share premium	1,490,480	1,490,480
Revenue and other reserves	4,395,529	3,872,988
Equity attributable to owners of parent	6,421,716	5,899,175
Non-controlling interest	331,925	333,936
Total equity	6,753,641	6,233,111
REPRESENTED BY:		
Assets		
Property and equipment	1,096,106	1,098,712
Intangible assets	98,323	86,721
Goodwill	1,254,995	1,254,995
Investment property	789,763	1,035,500
Financial investments	21,896,541	19,064,519
Receivable arising from reinsurance	490,076	484,394
Receivable arising from direct insurance	1,224,312	1,640,417
Reinsurers' share of insurance liabilities	2,315,493	2,315,330
Deferred acquisition costs	110,053	143,670
Other receivables	332,236	435,555
Deferred income tax	131,175	123,915
Current income tax	22,120	92,787
Cash and cash equivalents	4,936,638	6,757,174
Total assets	34,697,831	34,533,689
Liabilities		
Insurance contract liabilities	11,939,589	11,060,752
Deposit administration liabilities	10,367,517	11,463,105
Unearned premium reserve	3,026,221	3,004,505
Creditors arising from reinsurance	824,172	1,025,068
Deferred acquisition income	87,318	88,414
Other liabilities	793,325	863,845
Deferred income tax	859,292	794,889
Current income tax	46,756	-
Total liabilities	27,944,190	28,300,578
Net assets	6,753,641	6,233,111

Group Income Statement

	31 Dec 2016 Shs'000	31 Dec 2015 Shs'000
Income		
Gross earned premium revenue	9,623,170	9,352,567
Less: Outward reinsurance	(4,049,834)	(3,826,733)
Net insurance premium revenue	5,573,336	5,525,834
Commissions earned	872,058	794,679
Investment income	2,552,561	1,833,886
Administration fees	9,650	9,101
Other income	17,268	108,156
Total income	9,024,873	8,271,656
Claims and policyholder benefits	(4,854,412)	(4,010,655)
Change in insurance contract liabilities	(854,563)	(736,050)
Amounts recoverable from reinsurers	1,756,860	1,620,588
Net insurance benefits and claims	(3,952,115)	(3,126,117)
Commissions	(1,176,507)	(1,181,061)
Other operating expenses	(2,954,366)	(3,010,776)
Total expenses and commissions	(4,130,873)	(4,191,837)
Result of operating activities	941,885	953,702
Profit before income tax	941,885	953,702
Income tax expense	(314,051)	(217,652)
Profit for the year	627,834	736,050
Attributable to :		
Owners of the parent	585,580	675,253
Non-controlling interest	42,254	60,797
	627,834	736,050
Basic and diluted earnings per share	1.17	1.37

Abridged Group Statement of Cashflows

	31 Dec 2016 Shs'000	31 Dec 2015 Shs'000
Cash generated from operations	(1,240,070)	(508,538)
Net interest received	2,452,437	2,458,401
Income tax paid	(196,628)	(256,892)
Net cash generated from operating activities	1,015,739	1,692,971
Cashflows used in investing activities	(2,788,280)	(802,153)
Cashflows used in financing activities	-	(344,080)
Currency translation differences	(47,995)	(41,326)
Net (decrease) increase in cash equivalents	(1,820,536)	505,412
Cash and cash equivalents at 1 January	6,757,174	6,251,762
Cash and cash equivalents	4,936,638	6,757,174

Group Statement of Comprehensive income

	31 Dec 2016 Shs'000	31 Dec 2015 Shs'000
Profit for the period	627,834	736,050
Items that can be reclassified into profit or loss:		
Foreign currency	(58,400)	(78,547)
Items that cannot be reclassified into profit or loss:		
Recognition of deferred income tax on revaluation	(4,650)	(2,920)
Gain on revaluation of land and building	15,500	15,500
Other comprehensive income for the year net of tax	(47,550)	(65,967)
Total comprehensive income for the period	580,284	670,083
Total comprehensive income attributable to:		
Owners of parent	582,295	642,234
Non-controlling interest	(2,011)	27,849
Total comprehensive income for the period	580,284	670,083

Abridged Group Statement of Changes in Equity

	Share Capital Shs'000	Share Premium Shs'000	Revenue and other reserves Shs'000	Non - controlling interest Shs'000	Total Shs'000
As at 1 January 2016	535,707	1,490,480	3,872,988	333,936	6,233,111
Net profit for the year	-	-	585,580	42,254	627,834
Other comprehensive income	-	-	(3,285)	(44,265)	(47,550)
Deferred tax	-	-	(59,754)	-	(59,754)
As at 31 Dec 2016	535,707	1,490,480	4,395,529	331,925	6,753,641

Message from the Directors

The Group Statement of Financial Position, Group Income Statement and Abridged Group Statement of Cash Flows are extracts from the Group's financial statement as audited by KPMG Kenya and have received an unqualified opinion. The complete set of financial statements will be made available on the Company's website (www.libertykenya.co.ke) on or before 15 May 2017.

Commentary

In the challenging operating environment of 2016, the consolidated profit before tax of Liberty Kenya Holdings was Shs 941 million – marginally below the prior year of Shs 953 million.

Among our subsidiaries, Heritage Kenya, a short term insurance company, produced a commendable set of results with core earnings, represented by underwriting profit, doubling that in 2015; its subsidiary, Heritage Tanzania, generated a local currency underwriting profit some 28% up on the prior year, but because of unpredictable currency exchange variations, our Tanzania result, in Kenya Shilling terms, was less than expected.

Liberty Life Kenya, our long term assurance business, however, had a more difficult year with higher claims levels and severe competition especially in group life products.

Meanwhile, the Group is focused on building capital in line with freshly introduced insurance regulations and aims for growth at a greater pace in the year to come.

Dividends

As a result of changes in the regulatory environment in the insurance industry requiring the subsidiary businesses to hold higher capital, the Board of Directors do not recommend the payment of a dividend (2015: Nil).

Looking ahead

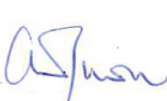
Following the enactment of risk based capital frame work towards end of 2015, we shall continue to carefully review our capital adequacy position in order to meet the now more stringent requirements. The Group will continue to review it's risk appetite and dividend policy to ensure the company is adequately capitalized to face future challenges.

The Financial Statements were approved by the Board on 16 March 2017.


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Director


M L du Toit
Managing Director


G R May
Director


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Company Secretary

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